

CAMT · FY2025 Q4

Camtek Ltd. · 66 turns · 12 participants

CAST (IN ORDER OF APPEARANCE)**Kenny Green**

Investor Relations, Camtech

Brian Chin

Analyst, Stiefel

Craig Ellis

Analyst, B. Riley Securities

Gus Richard

Analyst, Northland Securities

Michael Mani

Analyst, Bank of America

Shane Brett

Analyst, Morgan Stanley

Moshe Eisenberg

CFO

Charles Shee

Analyst, Needham & Company

Edward Yang

Analyst, Oppenheimer & Co.

Jim Schneider

Analyst, Goldman Sachs

Rami Langer

COO

Vati Shruptra

Analyst, Evercore ISI

KENNY GREEN Investor Relations, Camtech

Ladies and gentlemen, thank you for standing by. I would like to welcome all of you to Camtech's result Zoom webinar. My name is Kenny Green and I'm part of the investor relations team at Camtech. All participants other than the presenters are currently muted. Following the formal presentation, I will provide some instructions for participating in the live question and answer session. I would like to remind everyone that this conference call is being recorded and the recording will be available from the link in the earnings press release and on Camtech's website from tomorrow. You should have all received by now the company's press release. If not, please view it on the company's website. With me today on the call, we have Mr. Rafi Amit, CEO, Mr. Moshe Eisenberg, CFO, and Mr. Rami Langer, COO. Rafi has a cold and has lost his voice, so Rami will be providing the opening remarks, followed by Moshe, who will then summarize the financial results of the quarter. Following that, we will open the call for the question and answer session. Before we begin, I'd like to remind you that the statements made by management on this call will contain forward-looking statements within the meaning of the Federal Securities Laws. Those statements are subject to a range of changes, risks and uncertainties that can cause actual results to vary materially. For more information regarding the risk factors that may impact Camtex results, please review Camtex earnings release and SEC filings and specifically the forward-looking statement and risk factors identified in the results press release issued earlier today and such other factors discussed in Camtex most recent annual report on SEC Form 20F. Camtex does not undertake the obligation to update these forward-looking statements in light of new information or future events. Today's discussion of the financial results will be presented on a non-GAAP financial basis unless otherwise specified. As a reminder, a detailed reconciliation between GAAP and non-GAAP financial results can be found in today's earnings release. And now, I'd like to hand the call over to Mr. Rami Langa, Camtech COO. Rami, please go ahead.

RAMI LANGER COO

Thanks, Kemi. Hello, everyone. Camtech concluded the fourth quarter and full year with record results. Fourth quarter revenues reached a quarterly record of \$128 million, representing an increase of 9% year-over-year. Gross margin was 51%, and operating margin was 29%. For the full year, I am excited with our revenues, which totaled \$496 million,

reflecting 16% year-over-year growth. Gross margin was 51.6%, and operating margin reached 30%. These results bring us to our milestone of half a billion dollars in revenues. In terms of revenue mix for the full year, Approximately 50% was driven by AI-related products, 20% came from the other advanced packaging applications. The remaining revenue was distributed across CMOS image sensors, compound semiconductors, front-end and general 2D applications. Regarding our outlook for the first quarter of 2026, In our previous meeting, we indicated that we expect our revenues to be more second-half weighted, following a somewhat slower start to the year, and that we expect 2026 to be a growth year compared to 2025. In line with this, our revenue guidance for the first quarter is to be around \$120 million. At the same time, I am pleased to share that the months passed since our previous guidance significantly reinforced our confidence in our forecast regarding the strength of the second half and in our ability to achieve a full year growth in 2026. Moreover, at this point of time, we expect 2026 to be another double-digit growth year for ComTech. This confidence is derived from our pipeline of order and backlog, as well as ongoing interaction with our customers. As you are aware, key customers of ours have made public announcements regarding their investment plans for the coming year and are discussing with us about their plans for the latter part of the year in this respect. Customers have been verifying with us ability to ship and install a double-digit number of systems within a relatively short time frame. Certain customers are finalizing development of their next generation devices and want clarity on which of our system models best fit their requirements. The primary growth engine of the semiconductor industry continues to be high-performance computing components designed for AI applications. As I said, the growth curve expected in 2026 is largely linked to the pace of which device manufacturers, particularly memory suppliers, plan to expand their production capacity. As an example, last week we announced a \$25 million order received from an IDM customer for multiple Hawk systems. This order is in addition to previous orders placed in recent months by this customer, bringing the total to approximately \$45 million. The customer continues to expand its manufacturing capacity by building new fabs to meet growing demand for components produced for AI applications, and we expect additional orders from this customer. We expect additional major customers of ours to expand their production capacity after this year to meet rising demand for their products. Another major factor supporting our outlook is the proven exceptional performance of our systems, particularly the Hawk and the Eagle Gen 5. Both models were launched about a year ago, and we have already installed dozens of systems of each over the past year. Moreover, Since this introduction, we have continued to invest efforts in our R&D and completed the development of new capabilities to meet the requirements of our customers' next generation products. We have already demonstrated these new capabilities to several customers and received strong validation and interest. The transition to HBM4 is already in process and represents a major opportunity for us. We are the tool of reference for 3D metrology at all major players. We have a significant market share in 2D inspection, which we expect to expand in 2026. We therefore expect to not only maintain our market share in AI-related applications, but to increase it meaningfully Moreover, as our products introduce to the market superior new capabilities, we expect them to enable us to penetrate additional production steps and expand our total available market. To summarize, two major developments coincided during the last several months. We have experienced a significantly increased orders flow and pipeline, thus improving our visibility. In parallel, we have completed the development of new capabilities to meet the requirements of our customers' next generation products, which we expect to enable us to increase our market share and our total available market. We are excited with what we can achieve in 2026. And now, Moshe will review the financial results.

MOSHE EISENBERG CFO

Thank you, Rami. Revenue for the fourth quarter came in at a record \$128.1 million, an increase of 9% compared with the fourth quarter of 2024. For the full year, revenues came in at \$496.9 million, an increase of 16% compared with 2024. The geographic revenue split for the quarter was as follows. Asia was 89% and the rest of the world accounted for the remainder 11%. Gross profit for the quarter was \$65.4 million. The gross margin for the quarter

was 51.1%, similar to the previous quarter and slightly better than the 50.6% reported in the fourth quarter of last year. Expenses in the quarter were \$28.7 million compared to \$23.1 million in the fourth quarter of last year and \$27.2 million in the previous quarter. Operating profit in the quarter was \$36.7 million compared to the \$36.3 million reported in the fourth quarter of last year and \$37.6 million in the third quarter. Operating margin was 28.6% compared to 30.9% and 29.9% respectively. For the year, operating margin was 30%, similar to 2024. Financial income for the quarter was \$8.2 million compared to \$6.2 million reported last year and \$6.5 million in the previous quarter. Within that, interest income increase due to the increased cash balance from the strong cash generation and the convertible notes issued towards the end of the third quarter. Net income for the fourth quarter of 2025 was \$40.7 million or \$0.81 per diluted share. This is compared to a net income of \$37.7 million or \$0.77 per share in the fourth quarter of last year. Total diluted number of shares as of the end of the fourth quarter was 51.3 million. Turning to some high-level balance sheet and cash flow metrics, cash and cash equivalents, including short and long-term deposits and marketable securities, as of December 31, 2025, were \$851.1 million. This compared with \$794 million at the end of the third quarter. The fourth quarter was characterized by a very strong cash generation of \$61.2 million from operations. This is the result of a strong collection and reduction in account receivables, as well as optimization in our inventory levels. Accounts receivables were down by \$22 million to \$90.8 million compared to \$112.5 million in the previous quarter. Our day sales outstanding decreased to 65 days from 81 days last quarter. Inventory level is down by \$15 million. Having increased our inventory level in the last few quarters to support the launch of the Hawk and the Eagle Jane 5, it is now back to the right level to support the expected revenues in the coming quarters. As for guidance, as Rami explained, said before, we expect revenues of around \$120 million in the first quarter, with growth expected in the second quarter and more significant growth in the second half of 2026. And with that, Rami and I will be open to take your questions. Can we?

KENNY GREEN Investor Relations, Camtech

At this time, we'll begin the analyst question and answer session. If you have a question, please raise your hand via the Zoom platform. I will introduce you and ask you to unmute, after which you may ask your question. Our first question will be from Brian Chin of Stiefel. Brian, please go ahead. Brian, you can unmute as well.

BRIAN CHIN Analyst, Stiefel

Great. Thank you. Can you hear me? Yeah. Good afternoon. Thanks for letting us ask a few questions. Maybe firstly, just to reference the big accelerating increase in demand that you referenced, where is that more prevalent? Is it more concentrated on HBM? or on the chiplet logic side? And at this time, is the larger step-up occurring in Q3 or Q4?

RAMI LANGER COO

Well, hi, Brian. So, first of all, I would say it's what we call high-performance computing or the AI-relating products that are all ramping up. And I would say that I can't go at this stage to the resolution, whether it's Q3 or Q4, really customer dependent. I can say that it's in the second half. We will see the step.

BRIAN CHIN Analyst, Stiefel

Got it. Can you still hear me?

RAMI LANGER COO

Yeah, yeah.

BRIAN CHIN Analyst, Stiefel

Maybe for a follow-up, I think in the past you've noted that you expected 50% plus of your system shipments this year to be either one of the newer platforms, Hawk or Eagle Gen 5. Is that still the case, or is there an update to that? And, you know, this year we'll have HBM4 sort of coexist alongside HBM3E. Can you maybe outline sort of that decision point that some of your customers are having, either moving to Hawk or potentially sticking with the latest Eagle? And also... Are you seeing any reuse of existing systems? Is that any factor why shipments are lower in first half?

RAMI LANGER COO

So let me start to talk about the eagle versus the hawk. I think the hawk is going primarily to people that want very high throughputs and long-term capability. The hawk can reach accuracies, performance that is much higher than the Eagle, the G5. The G5 is a fantastic machine, very high flexibility, very popular in the OSUTS world, so therefore there is room for both of them. But definitely when you go to very high volumes, these customers will gradually move to the Hawk. Now, The Hawk and the G5 accounted to about 30% of our revenues this year. We expect it to be at least 50% in 2026. Did I answer your question correctly, Brian?

BRIAN CHIN Analyst, Stiefel

Yeah, that was helpful. And is there any reuse that you're seeing as sort of HBM4 and 3E both coexist, or just the fact that 3E is still pretty strong and prevalent? limiting the amount of reuse your customers can have?

RAMI LANGER COO

Well, you know, it's very hard for us to really know, you know, the three versus the HBM4. But I think gradually the industry will go to HBM4, and this will be the product that most people will be using. And definitely the move to HBM4, is a very important opportunity for us. As we discussed in previous calls, there is a lot more dense structures. The requirements are there are much higher. It is more metrology inspection intensive. So all in all, this move is very positive for us.

BRIAN CHIN Analyst, Stiefel

Great. Thank you, Rami.

KENNY GREEN Investor Relations, Camtech

Thanks, Brian. Our next question will be from Charles Shee of Needham. Charles, please go ahead.

CHARLES SHEE Analyst, Needham & Company

Hi, thanks for taking my questions. Maybe the first one, I want to dig a little bit deeper into the Hawk versus G5, the question here, Eagle G5. I remember Hawk was more positioned for high-end logic type of applications, and Eagle G5, you also mentioned it's a good productivity, good cost of ownership, and I thought that you probably more positioned the G5 as... maybe more for the memory, for high bandwidth memory, of course, for the OSAP market. Is some of that changing right now? Because I'm getting the sense maybe hawkers are seeing more of the adoption or maybe a faster adoption by your customers, maybe also including the memories. Thank you.

RAMI LANGER COO

No, no, this is not the case. What we are seeing, and this is the hawk is targeted for those applications that are high-end applications. You know, if you go to a very large number of bumps, let's say 150 million and more, people with low structures, you know, with the bumps comparatively shallow, these applications will definitely go to the hawk. The accuracies that are required there and definitely the throughputs that are required there are very high. So we will see these kind of applications go towards the Hawk. The second applications that will go to Hawk in general will be to those application people that are looking to go to 100 nanometers. So when we look at applications that are more related to

front end, related to hybrid bonding, those people that we want down the road to use the machine for hybrid bonding, those people will naturally adopt the Hawk. And the G5, obviously, it is, you know, we've got thousands of machines in the market. So you would see some customers using the Eagle platform, you know, adopt the G5 because they know it, they feel more comfortable with it. But I think the strength of the G5 is very, very, I would say, high flexibility. Very good accuracy, very good ROI. So all in all, it will continue to be a very popular machine. But definitely, on the other hand, you know, when you go to the high bandwidth memory, the higher ones, the 4 and the 5, definitely those customers will, to a certain extent, use the whole.

CHARLES SHEE Analyst, Needham & Company

Okay, so is it fair to say for memory market, especially for HBM market, we still should consider G5 as the workhorse, and Hawk is more deployed more selectively at this point?

RAMI LANGER COO

The way you should look at it, we have hundreds of eagles, many hundreds of eagles already doing these applications. But I think some of the future capacity that will be built will be more tended towards the hawk.

CHARLES SHEE Analyst, Needham & Company

Thanks. That was very clear. I wonder, checking with you guys, what's the expectation for China this year? If there's any number you can give to us, maybe a percentage of total revenue expected or... or young year growth? What's the China expectation for this year? Thanks.

RAMI LANGER COO

Well, first of all, the China expectation this year is all in all positive. We do not see any signs of weakness, and we expect to see the revenues in China, you know, they're going to be, I would say, stable. And keep in mind that, you know, most of the sales to China are OSATs, which are engaged in a lot of applications. So it's a primarily stable market. I think there is growth in OSATs in general in China. So I don't see any changes compared to previous years.

GUS RICHARD Analyst, Northland Securities

Thanks.

KENNY GREEN Investor Relations, Camtech

Thanks, Charles. Our next question will be from Jim Schneider of Goldman Sachs. Jim, you may unmute and ask your question.

JIM SCHNEIDER Analyst, Goldman Sachs

Hello. Thanks for taking my question. Relative to the double-digit growth outlook you talked about for the year and some of your – your competitors who have cited 15% to 20% WFE growth for 2026. Can you maybe frame for us where you expect your overall revenue to fall this year relative to some of those broader WFE forecasts? What do you expect? the inspection market to sort of undergrow the broader WFE envelope this year? And if not, would you expect, you know, this is more of a timing issue where you have a little bit weaker first half of the year and then you sort of catch up in terms of revenue growth in 2027? Thank you.

RAMI LANGER COO

So, first of all, you know, we said in the prepared notes that we are going to achieve double digits this year in 2026. Now, it's too early to quantify at this time, but looking at our results in the last few years, we always did better than the WFA because we are focused on the fastest growing segments. But if I want to give you a little bit more color on what

we are seeing this year, so, you know, compared to what we discussed here a quarter ago, we are seeing a much better visibility, and this is resulting from the new orders that we have received, a much better pipeline following our discussions with customers and understanding the forecast much better. We understand today the timing of the expected orders, so the full visibility and our confidence in 2026, and specifically in the second half, is very high.

JIM SCHNEIDER Analyst, Goldman Sachs

Okay, thank you. And then, can you maybe just talk about how we should expect your gross margin trajectory to go throughout the year? I think you previously cited that the improving ASPs on Hawk, et cetera, would drive gross margin expansion. Is this something you can expect that, you know, the gross margins, you know, to continue to increase throughout the year as you build volume?

MOSHE EISENBERG CFO

Yes, absolutely. You know, we are looking into an improved gross margin throughout the year, and as we expect to grow the revenue in the second half of the year. We expect to improve the margins. We did take certain measures to improve the bill of material. We took other measures in terms of supply chain, and we believe that we are positioned well to benefit from this and improve the gross margin later in the year.

KENNY GREEN Investor Relations, Camtech

Thank you. Thanks, Jim. Our next question is from Shane Brett of Morgan Stanley. Shane, please go ahead and ask your question.

SHANE BRETT Analyst, Morgan Stanley

Thank you for letting me ask the question. I have a question on the competitive dynamics. Has there been any change to competitive dynamics for HPM sockets? Just how should I think about your share at these memory customers? Thank you.

RAMI LANGER COO

So, thank you for the question. So, I want to make it very clear. We have not lost any market share to competitors. We also estimate that we will be able to increase our market share this year. You know, I talked in the prepared notes about our efforts in the R&D that yielded exceptional solutions and capabilities. And these capabilities will enable us to increase our market share by penetrating into more inspection and metrology steps.

SHANE BRETT Analyst, Morgan Stanley

Great. That's very encouraging to hear. And for my follow-up, so some OSATs have mentioned pretty monstrous CapEx numbers throughout this earnings period. Can you talk about your business with these customers and just how a broadening of advanced packaging beyond, you know, the leading foundries benefits Camtech? Thank you.

RAMI LANGER COO

So definitely we see what is called the CoAS technology moving to OSAT. Some of it call it CoAS. Some of it call it CoAS-like CoAS. technologies. All in all, I would say that the OSAT, this is our home ground. This is where we are very strong and we dominate this market. We have hundreds of machines in this area. It's about 50% of our business. So definitely the move to these technologies are very important in the OSAT. This will definitely benefit companies. I would say one more thing that, of course, the OSAS are very important to our business, but on the other side, we have a very strong position at all the big players. When we talk about the HBM, when we talk about the COAS, we talk about TSMC, all of these are our customers, and we have a very good market position, and we plan to continue and grow with it.

SHANE BRETT Analyst, Morgan Stanley

Great. Thank you very much.

KENNY GREEN Investor Relations, Camtech

Thanks, Shane. Our next question will be from Craig Ellis of BeReilly. Craig, you may go ahead.

CRAIG ELLIS Analyst, B. Riley Securities

Yeah, thanks for taking the question. I wanted to start stitching together a couple of earlier answers and implications for the Earth's growth. So it sounds like what you're saying, guys, with the real strong uptake you're getting across OSATs, IDMs, and Foundry, for Hawk and Eagle that this year there should be real strong IDM growth since that's where you've got your HVM exposure, good growth in OSAT, and I suspect good growth in Foundry with 2.5D. Is that a fair characterization of how we should look at growth across your different customer classes?

RAMI LANGER COO

I think it's an excellent view, and I totally agree with your comment. This is how we see the market. As you said, there are the big customers, the HBM, the foundries, that definitely are going to be very dominant this year, and we expect growth there. But the offsets, which is people take 50% of our business, are continuing to invest on one side in advanced packaging applications. But moreover, are starting to adopt the course of the AI technologies. And this is for real. I mean, this is real. I mean, I think they are talking about it openly. And they are also talking about significant growth this year. And we have really, in this respect, we already have POs on hand. We have it in the backlog. And definitely the focus is very positive.

CRAIG ELLIS Analyst, B. Riley Securities

That's helpful. Thanks, Rami. And then the follow-up is – is related to one of Jim's questions, but also tying in some further color on gross margin. So can you just identify, guys, if we were to see demand go from double digits, low end, you know, 10% towards something that was more WFE-like, do you feel like you have the materials, the production capacity, the shift flexibility, to meet that degree of upside through the year. And then, Moshe, are there any things we should be aware of on gross margin if you were to be chasing demand that was near WFE-like? And can you just clarify what we should expect with gross margin in the first quarter, given the decline in volume? Are we going to stay at 51-plus, or do we go down to 50? And then what about the OPEX contour through the year? Thanks very much, guys.

RAMI LANGER COO

Before you answer, I just want to answer regarding the operational aspects. So we are ready to respond to any demand that will come from the market. So whether it will be very high teams or big teams or whatever the number will end up, from the operational point of view, we are ready.

MOSHE EISENBERG CFO

Yeah, I mean, we do have, you know, just to complete, you know, we do have the capacity, we have the inventory and all the supply chain ready for the growth. So from operational perspective, we are all aligned. In terms of gross margin, as I said, we do expect an improvement in the second half of the year. The first half of the year will still be around the same level, between 50.5 to 51.5. That's the current level of gross margin in the business. With respect to OPEX, We do expect to see some increase in the first half of the year as a result of R&D investment. We see a lot of opportunities ahead of us. I think we've made it very clear that we are expecting a strong second half, and as a result, we plan to invest in R&D in the first half of the year in order to capture this opportunity, then we will see some increase in operating expenses as a result of that.

CRAIG ELLIS Analyst, B. Riley Securities

That's very helpful, Kaz. Good luck.

KENNY GREEN Investor Relations, Camtech

Thank you. Thanks, Craig. Our next question will be from Edward Yang of Oppenheimer. Ed, please go ahead.

EDWARD YANG Analyst, Oppenheimer & Co.

Hi, good morning, and thanks for the time. Rami, you talked about maintaining market share and expanding it. Are you watching any specific timeframes or decision points? Do you have any systems under qualification? Just wondering if there are any specific catalysts you have in mind.

RAMI LANGER COO

So, in general, you know, I cannot disclose exactly the timeframe and the decision times. What I can tell you that there are several steps, different customers that we are already confirmed and we're already, you know, shipping machines to those steps or will ship as we move into the year. We are in a very good position at other places to capture additional steps. And these are based on work that has been done already and being confirmed by the customer. And we are more going into the validation process. So definitely we are very confident that not only we will maintain our market share, we will be able to increase it and go to additional steps in 2026 as the year progresses.

EDWARD YANG Analyst, Oppenheimer & Co.

Got it. And just for my follow-up, you also mentioned you always do better than WFE. We've heard some diverging views on WFE growth for 2026. A couple of larger depth and edge players are pointing to above 20% growth. One of your process control peers are looking for something more like low double digits growth. Just curious where you lean.

RAMI LANGER COO

I said before in one of the previous questions that from our point of view, it's too early to quantify the number. We will start with the year, and we'll see how things progress, and then we will meet every quarter, and I think we will be far more knowledgeable as we go ahead. But definitely, it's too early to quantify a number.

EDWARD YANG Analyst, Oppenheimer & Co.

Fair enough. Thank you very much.

RAMI LANGER COO

Thank you.

KENNY GREEN Investor Relations, Camtech

Thanks, Ed. Our next question will be from Gus Richard of Northland. Gus, please go ahead.

GUS RICHARD Analyst, Northland Securities

Yes, thanks for taking the questions. When I look at test and probe, those companies expect to be up sequentially in Q1. They're down sequentially in Q1. I know they're different applications. I know they're different things, but they tend to move together, and could you sort of help explain why there's this divergence in the current quarter?

RAMI LANGER COO

I guess. You know, The slow start of 2026 is primarily driven by the timing of the orders of our customers. And a big part of their capacity expansion, and especially the big ones, is planned for the second half. And this is the reason for the slow start.

GUS RICHARD Analyst, Northland Securities

Okay. Sort of looking at KLA's results, they talked about their packaging-related revenue being up 70% in last year. And I'm wondering, you know, are they – and I don't believe your packaging revenue in advanced packaging was that strong. Are they addressing different markets? You know, what's the disconnect between their growth rate and yours?

RAMI LANGER COO

So, first of all, I don't know for which baseline they're accounting. So, you know, I don't want to make a mistake here. But I suspect that we're not talking here apples to apples, but we are comparing here some different steps and some areas that we do not play in with. From our point of view and what we see in the segments and what we call, you know, in our markets and our applications and the customers and we serve everybody, We have not lost any market share. On the contrary, we expect to gain, and we expect even to increase our total available market. So from that point of view, we feel comfortable. I think we discussed in previous calls how we see the competition with KLA. You know, we understand the strength of KLA, but definitely We have a lot of advantages in the fact that we are well entrenched in the market that we're playing in. You know, we have an inherent advantage by offering on our tools the 3D metrology and the 2D inspection, which is very important to the advanced packaging. And I think in general, the unique combination of technology scale and flexibility is a key reason why we're performing so well in this market, and I don't expect this to change.

GUS RICHARD Analyst, Northland Securities

Got it. Thanks for the explanation.

RAMI LANGER COO

Thank you, Gus.

KENNY GREEN Investor Relations, Camtech

Thanks, Gus. Our next question will be from Michael Mani of Bank of America. Michael, please go ahead.

MICHAEL MANI Analyst, Bank of America

Hi, thanks so much for taking my questions. I wanted to ask on the chiplet business. So first off, and I know you don't really segment this out anymore, but just in general for last year, how much of the growth, especially in AI, came from the chiplet side of the house? And then as you look out to this year, especially as it pertains to your lead customer in the chiplet business, how do you feel about your share position? There, I think you said you felt a bit about your position, but if you could just elaborate on that, like what applications are you potentially getting share in, especially on the 2D side of the business? Is that part of the reason you're seeing more strength in the second half? Just any kind of clarity there would be great. Thank you.

RAMI LANGER COO

So, hi, Michael. So, first of all, we did not in the past, and I cannot break down whether it's cheapest on HBM or we refer to the business as a high-performance computing, which is about 50% of the business. But, of course, you know, and I think it is well-known, and I think TSMC made a note, made a comment in one of their previous announcements that Camtech is a significant vendor to them. So, it's not a secret. Yes, we are there. We have a share of the chiplet business. We are doing a few steps there, and this is where Further on, obviously, I cannot comment on exactly which

of the steps, but it's not only one step. It's multiple steps. I expect this business is a healthy business. And as I said in my comments before and also in the prepared notes, we did not lose any market share. We expect to gain market share. And this is the case also related to triplets. We don't see a difference. So we're very optimistic about, obviously, the HBM market, but the chiplet or the high-performance computing as a whole.

MICHAEL MANI Analyst, Bank of America

Great. Thank you. And for my follow-up, I was hoping you could provide a finer point on your capacity. I know you talked about this in response to a previous question, but in the past you've talked about, I think, up to \$650 million in capacity potential from a revenue perspective. As you look out over the next couple of years into what is definitely a materially significantly stronger demand environment, it seems, do you feel like that's still the right size of a footprint to address all that demand? And if you were in a position where you needed to add capacity, how quickly from a lead time perspective would you be able to build that out or improve? Given your strong cash position, would you seek to acquire that from some other vendors?

RAMI LANGER COO

Thank you. Yeah. So, Michael, let me answer your question. So, first of all, at this stage, we don't have limitation on our current capacity. We've made some changes internally. We changed the process. We are, you know, as we go on and we're becoming far more efficient from year to year, we've We are doing things better and more efficiently. So we've increased the capacity that we have on hand today. I think it is well over \$700 million in capacity. So I don't foresee any issues. In parallel, we started already to expand our capacity. I cannot give comments at this stage, but we will have additional capacity in Europe. I believe it will happen late. 26, we will start to be able to use this capacity. So all in all, we are in a good position from the capacity and the whole, I would say, operational organization. It is well organized. The performance is very well. We have enough buffers in place in case that the business will be even better than we think. So from that point of view, I feel very comfortable.

MICHAEL MANI Analyst, Bank of America

Thank you very much.

KENNY GREEN Investor Relations, Camtech

Thanks, Michael. Our next question will be from the Vati Shruptra of Evercore. Vati, please go ahead.

VATI SHRUPTRA Analyst, Evercore ISI

Yeah, thanks for taking my question. So I kind of wanted to understand how far your visibility is going now. You know, we all understand it's a strong demand environment. Your backlog is growing. You're seeing the orders come in. So do you have visibility going beyond like 4Q26 now?

RAMI LANGER COO

Another question. Hi, Vidvari. So, thank you for the question. So, I alluded more in my discussion previously to 26. But I think we're starting to see also signs of 27. I would say it's obviously not the backlog, but it's definitely customers are talking to us about shipping machines in the first and second quarter of 27. So, yes, the industry is ramping up, and it's starting to think not just 26, 27. So I would say, you know, I haven't gone into the numbers very thoroughly, but definitely we're seeing signs of 27 people thinking about 27 and putting some numbers, some initial numbers. So it's a positive answer.

VATI SHRUPTRA Analyst, Evercore ISI

Understood. Thank you. And for my follow-up, so I know this was asked a couple of times on the call and so I'll try it again. But, you know, the advanced packaging growth by some of the Depp and Edge players is in like 40% levels. And then if you listen to your bigger peer on process control, they think it's like, high teams kind of level. So there's a big disparity on how the advanced packaging market would look. And since you guys, I think, have the highest exposure, could you give us a sense of where that lands for you and what you're seeing?

RAMI LANGER COO

So it's, you know, I think the main applications today, when you talk about advanced packaging, I think the leading applications is Fano. There is a lot of Fano. And there are many variations on it, you know, from high-resolution fan-out, regular fan-out, but definitely this is a big market. And, of course, you know, what's called the regular bump inspection in the OSAPs, as you know, everything today is advanced packaging. The growth of this market, it's definitely double digits. How far in the double digits? I can't pull this number from my sleeve now. And it's too soon to quantify how it will be in '26, but definitely it's a good growth number. Thank you. Thank you, Vibhati. Thanks, Vibhati.

KENNY GREEN Investor Relations, Camtech

So that will end the Q&A session. Before I hand over to Rafi for his closing statement, in the coming hours we will upload the recording of the conference call to the IR section of Camtech's website at www.camtech.com. I'd also like to thank everybody for joining this call. And Rami, please go ahead with the closing statement.

RAMI LANGER COO

I want to express my gratitude to all our investors for your ongoing interest in supporting our business. Special thanks goes to our employees all over the world and management team for their outstanding performance. I want to mention the Chinese New Year celebrated by many of our customers and many of our employees around the world. I would like to extend our best wishes for them and for a successful and prosperous year of the Firehorse. I look forward to our next conversation in the upcoming quarter. Thank you and goodbye.